J.P.Morgan

Coca-Cola

1Q24 Preview: Underlying Momentum Continues & Still a Top Pick, but Tougher 1Q Volume Set-Up, In Our View

The Coca-Cola Company (KO, Overweight rated) is scheduled to report 1Q24 earnings results on Tuesday, April 30, before the open. We left our 1Q24 estimates unchanged, including OSG +4.9% (concentrate shipment basis, or +7.0% unit case volume basis) and EPS of $0.70, which compares to consensus +6.5% and $0.70. For 2024, we left our OSG and EPS estimates unchanged at +7.0% and $2.82 (vs. consensus +6.9% and $2.81), although we recalibrated our gross margin and operating expense estimates (lowered gross margin, raised operating expenses, EBIT margin unchanged).

- **Favorable Set Up for 2024, Although More Cautious on Volumes in 1Q vs. Street; Not Expecting Guidance Raise.** We continue to believe KO is well positioned to land at the upper-end of its OSG guidance of +6-7% with better volume performance vs. peers, which we believe is a better indicator of the sustainability and quality of the OSG performance looking ahead (e.g., JPMe 2024 volume expectations KO/PEP/KDP +1.7%/-0.4%/+1.1% - caveat that KDP is volume/mix and includes benefit of partner brands). That said, for 1Q24 we are more cautious on volumes vs. Street (concentrate shipments JPMe -2.9% vs. CM -0.2%) as we expect the company could see headwinds from destocking and 1 less calendar day as well as tougher comparisons (we detail more within). With 1Q24 likely to be lower vs. FY on OSG delivery, in our view, we would not expect an underlying guidance raise at this point in the year.
- **Investors We Speak Seem to Like KO Better Medium to Long Term, But Have Been Tactically Rotating into PEP in the Short Term on Discount/ Low Bar/FX.** From a stock perspective after a solid start to the year (e.g., YTD thru high at 3/13/24 KO +3.7% vs. PEP -2.7%) we have more recently seen investors rotate out of KO and into PEP (e.g., since 3/13/23 KO -3.6% vs. PEP +4.2%) likely driven by valuation discount that got relatively wider relative to the recent past (e.g., KO premium vs. PEP ~600 bps in mid-March narrowed -600 bps to basically flat despite better fundamental outlook, in our view), lowered bar (e.g., PEP cut guidance post 4Q23 and expectations for 1Q24 low), less FX pressure with USD rallying (e.g., U.S. for KO 17%/36% of unit case volume/net revenue and DXY U.S. Dollar Index has rallied ~5% YTD), and perhaps more cautious positioning if our estimate prove correct and volume performance comes in below the Street in 1Q . Moreover, relative to the S&P 500 KO has rarely been this cheap (i.e., last week was at a -1% discount to SPX, cheapest since 2009 and now at a 2% premium vs. historical 20s% premium). Putting it all together, KO looks attractively valued at current levels and we remain Overweight. Our Dec-24 target price moves down $1 to $65 given multiple de-rating based on 21.5x P/E (KO's 1-year average) off our 2025 EPS of $3.01.

Overweight

KO, KO US
Price (18 Apr 24):$58.91
▼**Price Target (Dec-24):$65.00**
Prior (Dec-24):$66.00

Beverage, Household & Personal Care Products

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2023A	2024E	2025E
Q1	0.68	0.70	
Q2	0.78	0.83	
Q3	0.74	0.77	
Q4	0.49	0.54	
FY	2.69	2.82	3.01

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	83	81	81	82	86
Growth	19	18	30	61	96
Momentum	55	50	49	87	29
Quality	8	19	15	18	71
Low Vol	1	1	1	16	1
ESGQ	46	2	4	16	30

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 12 for analyst certification and important disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	-0.0%	-2.0%	-2.1%	-7.3%
Rel	-5.1%	0.7%	-6.9%	-27.9%

Company Data

Shares O/S (mn)	4,321
52-week range ($)	64.99-51.55
Market cap ($ mn)	254,550.10
Exchange rate	1.00
Free float(%)	89.7%
3M - Avg daily vol (mn)	13.98
3M - Avg daily val ($ mn)	837.7
Volatility (90 Day)	12
Index	S&P 500
BBG BUY|HOLD|SELL	21|7|0

Key Metrics (FYE Dec)

$ in millions	FY23A	FY24E	FY25E
Financial Estimates			
Revenue	45,784	46,331	48,337
Adj. EBITDA	14,464	15,107	16,075
Adj. EBIT	13,336	13,975	14,798
Adj. net income	11,677	12,222	13,024
Adj. EPS	2.69	2.82	3.01
BBG EPS	2.68	2.81	3.00
Cashflow from operations	11,599	11,526	13,702
FCFF	9,747	9,319	11,395
Margins and Growth			
Revenue Growth Y/Y (%)	6.4%	1.2%	4.3%
Total Organic Sales Growth (%)	-	-	-
Gross margin	59.7%	60.7%	61.0%
EBITDA margin	31.6%	32.6%	33.3%
EBITDA Growth Y/Y (%)	6.3%	4.4%	6.4%
EBIT margin	29.1%	30.2%	30.6%
Net margin	25.5%	26.4%	26.9%
Adj. EPS growth	8.4%	4.9%	6.6%
Ratios			
Net debt/EBITDA	2.1	2.3	2.0
ROIC	-	-	-
ROE	46.7%	45.2%	43.2%
Valuation			
FCFF yield	3.8%	3.7%	4.5%
Dividend yield	3.1%	3.2%	3.4%
EV/Revenue	5.8	5.8	5.5
EV/EBITDA	18.3	17.8	16.6
Adj. P/E	21.9	20.9	19.6

Summary Investment Thesis and Valuation

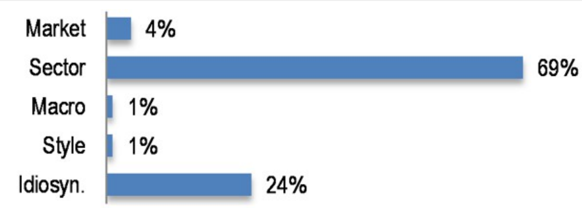
Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola will benefit from economies reopening and is well positioned to reaccelerate organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising, and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2024 price target is $65, based on 21.5x P/E (1-year average multiple) our 2025 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our $65 price target implies ~11% upside in the next ~8 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.10	0.21
Sect: Cons Staples	0.86	0.85
Ind: Food Bev & Tobacco	0.89	0.80
Macro:		
US 10yr yield	-0.16	-0.27
US Dollar	-0.24	-0.26
Non-Energy Commodity	0.16	0.24
Quant Styles:		
Growth	-0.50	-0.44
LowVol	0.25	0.36
Size	0.15	0.25

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **1Q24 Expectations.** We are forecasting 1Q24 EPS of $0.70 (unchanged), which is in-line with the current Bloomberg consensus. Our organic growth estimate on unit case volume basis of +7.0% (unchanged) compares to the apples-to-apples Consensus Metrix estimate of +7.0%, although JPMe models for a -210 bps delta between concentrate shipments and unit case volumes given potential de-stocking and 1 less calendar day in 1Q24 vs. CM -50 bps delta (i.e., JPMe unit case/ concentrate shipments -0.8%/-2.9% vs. CM +0.1%/-0.4%). As such, on a concentrate shipment basis our OSG estimate of +4.9% compares to CM +6.4%. JPMe models for +7.8% price/mix vs. CM +6.9%. We are in-line with the Street on margins (EBIT margins JPMe 32.0% vs. consensus 32.0%) with our gross margin slightly ahead (JPMe 61.4% vs. consensus 61.1%) and our operating expenses heavier (JPMe 29.4% vs. consensus 29.2%). We elaborate further inside.

1Q24 Earnings Outlook

Date: Tuesday, April 30

Estimated Release Time: 6:55 AM ET

Conference Call Details:

Time: 8:30 AM ET

Dial-in: +1-888-415-4465 Pin: COKE IR

The Coca-Cola Company (KO, Overweight rated) is scheduled to report 1Q24 earnings results on Tuesday, April 30, before the market open. We left our 1Q24 estimates unchanged including OSG of +4.9% (using concentrate shipments, or +7.0% using unit case volume) and EPS of $0.70 versus the current consensus OSG +6.4% (or +7.0% using unit case volume) and $0.70, respectively. We are more conservative on volume performance in 1Q24 as we believe the company could see headwinds from destocking and 1 less calendar day as well as tougher comparisons, but conversely we are ahead of the Street on price/mix. Specifically within our 1Q24 OSG outlook, we model for -0.8% unit case volumes, -2.9% concentrate shipments, +7.8% price/mix, -4.1% FX, and -2.0% M&A while CM models for +0.1% unit case volumes, -0.4% concentrate shipments, +6.9% price/mix, -4.6% FX, and -2.4% M&A. For 2024, we recalibrated our estimates a bit between gross margins and operating expenses, but left our 30.2% EBIT margin estimate unchanged (vs. Street 30.1%). In total for 2024, we left our OSG and EPS estimates of +7.0% and $2.82 unchanged vs. consensus +6.9% and $2.81. We discuss more on the top-line below.

Within Beverages, we think KO has among the more favorable set-ups for 2024 with visibility to volume growth and potential upside to estimates. That said, from a stock perspective after a solid start to the year we have more recently seen investors rotate out of KO and into PEP likely driven by valuation discount that got relatively wider relative to the recent past, lowered bar, less FX pressure with USD rallying, and perhaps more cautious positioning if our estimate prove correct and volume performance comes in below the Street in 1Q. As such, KO's relative premium to PEP has narrowed by ~600 bps in the past month to basically flat despite the better fundamental outlook (in our view) and relative to the S&P 500 KO has rarely been this cheap (earlier in April was at -1% discount, cheapest since 2009 and now at a 2%

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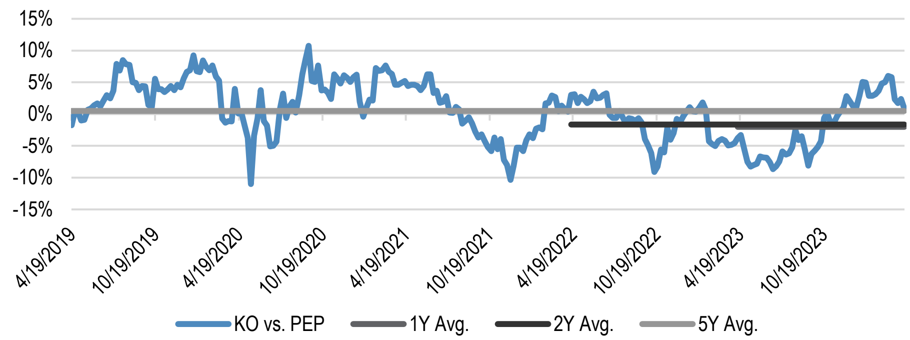
premium to SPX vs. historical 20s% premium).

Figure 1: Mean Reversion: KO Shares Back at Parity to PEP on NTM P/E – Compressed -600 bps Since Last Month

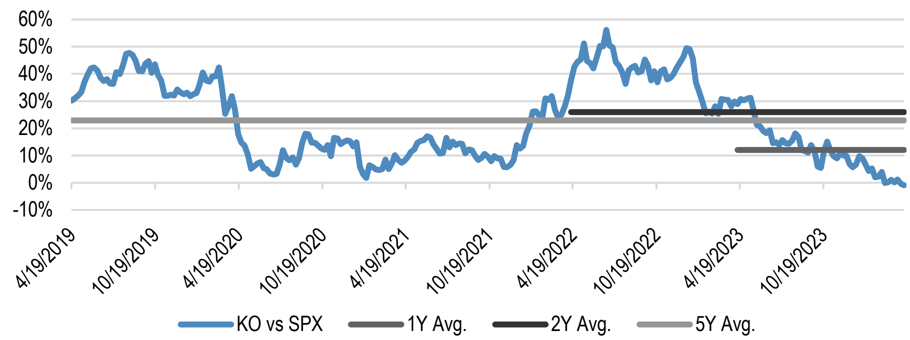
KO NTM P/E Relative Premium/Discount vs. PEP



Source: Bloomberg Finance L.P.

Figure 2: KO Shares at 2% Premium to SPX - Earlier in April Hit Lowest Relative Valuation Since 2009

KO NTM P/E Relative Premium/Discount vs. SPX



Source: Bloomberg Finance L.P.

We Are Largely In-Line with Consensus for 1Q24, Although We Model OSG More Conservatively

On the top-line, our +0.1% estimate (including +4.9% organic on concentrate shipment basis, -4.1% FX, and -2.0% M&A) is largely in-line with consensus of flat (including +6.4% organic, -4.6% FX, and -2.4% M&A). As we discuss later, we are modeling more conservatively on concentrate shipments vs. Consensus Metrix but are ahead on price/mix. We are in-line with the Street on margins (EBIT margins JPMe 32.0% vs. consensus 32.0%) as we are ahead on gross margin (JPMe 61.4% vs. consensus 61.1%) and higher on SG&A (JPMe 29.4% vs. consensus 29.2%).

Our gross margin forecast of 61.4% embeds 50 bps expansion YOY. KO faces a relatively tough comparison on gross margins as last year as there was about 70 bps of more discrete benefits within cost of sales that will be lapped, although we still see solid margin expansion working though the puts and takes. On the positive side, we're still modeling for higher-than-normal price/mix flow through as most regions should see ongoing benefit from rate and RGM and refranchising of Philippines closed on February

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23. On the unfavorable side, FX will remain a headwind (potentially similar level to -70 bps in 4Q23), concentrate shipments could be a headwind to margins (de-stocking), higher costs continue to flow through (albeit at a more moderate rate), and we model for faster growth of finished goods businesses. Looking ahead, however, we see strong margin expansion driven by refranchising. Our SG&A forecast of 29.4% of sales is 28 bps favorable YOY as we assume that reinvestment behind advertising is partially offset by favorability on the rest of opex (selling & distribution and other operating expenses) driven in part by refranchising.

All in, our 1Q24 EPS estimate of $0.70 is a in-line with the current Bloomberg consensus estimate.

Table 1: JPMe 4Q23E and 2023E vs. Bloomberg Consensus

$ m, except per share values

	1Q24E		Y/Y	JPMe	2024E		Y/Y	JPMe
Income Statement	**JPMe**	**Consensus**	**%**	**vs. cons**	**JPMe**	**Consensus**	**%**	**vs. cons**
Net Sales	10,971.2	10,959.8	0.1%	0.1%	46,331.2	45,739.1	1.2%	1.3%
Gross Profit	6,739.3	6,700.2	0.9%	0.6%	28,144.3	27,522.6	3.0%	2.3%
Operating Income	3,516.1	3,502.4	0.8%	0.4%	13,975.2	13,770.4	4.8%	1.5%
Interest, Net	152.8				754.2			
Net Income	3,011.9	3,011.4	2.5%	0.0%	12,222.1	12,171.3	4.7%	0.4%
Shares Outstanding	4,330.0		-0.3%		4,330.0		-0.2%	
EPS	**$0.70**	**$0.70**	2.8%	-0.2%	**$2.82**	**$2.81**	4.9%	0.4%
	1Q24E		bps	JPMe	2024E		Y/Y	JPMe
Growth/Margins	**JPMe**	**Consensus**	**bps**	**vs. cons**	**JPMe**	**Consensus**	**bps**	**vs. cons**
Sales Growth	0.1%	0.0%	(424)	10	1.2%	-0.1%	(517)	129
Gross Margin	61.4%	61.1%	50	29	60.7%	60.2%	108	57
SG&A Margin	29.4%	29.2%	28	20	30.6%	30.1%	4	52
Operating Profit Margin	32.0%	32.0%	22	9	30.2%	30.1%	104	6
Tax Rate	19.2%				19.2%			

Source: Bloomberg Finance L.P., and J.P. Morgan estimates.

Organic Revenue Growth

Overall comparisons are relatively tough in 1Q from on organic growth perspective both YOY and on a 4Y CAGR basis (lapping +12% YOY OSG and +8.8% 4Y CAGR vs. in 4Q23 lapped 15% YOY and +6.7% 3Y CAGR). We also expect some headwinds to 1Q24 as the company noted 1 less calendar day in 1Q24 (an 2 extra calendar days in 4Q24) and will also likely see some impact from de-stocking in LatAm and EMEA that benefitted 4Q23 and ongoing impact from the tensions in the Middle East. On the other hand, price/mix should continue to be a solid tailwind to the top-line from more regular pricing in-line with inflation, positive mix, and impact from hyperinflationary markets (albeit more moderate vs. 4Q23).

For 1Q24 we are expecting unit case volume performance to decelerate sequentially to -0.8%, which embeds a CAGR of +1.8%, largely in-line with 4Q23 +1.7%. Our estimate is below the current CM consensus of +0.1%, although we see a couple of reasons to be slightly more conservative. First, the company is lapping a tough comparison on unit case volumes from 1Q23 of +3.0% and +2.4% on 4Y CAGR basis (vs. full year 2023 +1.9%) against a backdrop of softer consumer conditions in current year in U.S> and Europe and potentially slower start to year in China and second, management noted that the conflict in the Middle East was impacting performance by about a point, which we

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expect to continue. From a concentrate shipment perspective, as we noted before there is one less calendar day in 1Q24 and management also alluded to some timing impact of shipments in 1Q24, which we believe primarily impacts LatAm and EMEA and could be worth a couple of points (i.e., was pulled forward into 4Q23 and comes out of 1Q24).

For 1Q24, we are expecting price/mix to decelerate slightly sequentially to +7.8% from +9% in 4Q23, although looking on a multi-year basis our 1Q24 estimate embeds price/mix ~129% of 2019 levels vs. ~130% of 2019 levels in 4Q23. Our estimate is above the current CM consensus of +6.9%.

All in, we are forecasting 1Q24 OSG of +7.0% (unit case volume -0.8%, price/mix +7.8%) versus the apples-to-apples CM forecast of +7.0% (unit case volume +0.1%, price/mix +6.9%). We are forecasting a wider delta between unit case volume and concentrate shipments, however, of 210 bps vs. CM 50 bps (i.e., JPMe concentrate shipments -2.9% vs. CM -0.4%). As such, utilizing concentrate shipments in calculating OSG would lead to JPMe +4.9% vs. CM +6.4%. We believe given the 1 less calendar day and potential de-stocking it makes sense to be a bit more conservative on concentrate shipments this quarter. From a unit case volume perspective, we are mostly below consensus in EMEA, Asia Pacific, and BIG but relatively in-line in North America, LatAm and slightly ahead in Global Ventures.

On a regional basis, our OSG forecasts are as follows: +17.5% in EMEA (unit case volume -2.5%, price/mix +20.0%), +14.0% in Latin America (unit case volume +2.0%, price/mix +12.0%), +2.0% in North America (unit case volume -1.5%, price/mix +3.5%), +1.0% in Asia Pacific (unit case volume -3.0%, price/mix +4.0%), +8.0% in Global Ventures (unit case volume +1.0%, price/mix +4.0%), and +5.0% in BIG (unit case volume +1.0%, price/mix +4.0%).

The regional breakdown of our organic revenue growth estimates vs. consensus (measured by Consensus Metrix) is below.

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Table 2: 1Q24E JPM Organic Revenue Estimates vs. Consensus

	1Q24E		JPMe
Revenue Build	**JPMe**	**Consensus**	**vs. cons (bps)**
Organic Revenue	**7.0%**	**6.4%**	**62**
EMEA	17.5%	13.1%	440
Latin America	14.0%	12.3%	170
North America	2.0%	1.8%	20
Asia-Pacific	1.0%	3.6%	(260)
Global Ventures	8.0%	6.1%	190
BIG	5.0%	6.7%	(170)
Unit Case Volume	**-0.8%**	**0.1%**	**(92)**
EMEA	-2.5%	-0.6%	(190)
Latin America	2.0%	1.8%	20
North America	-1.5%	-1.2%	(30)
Asia-Pacific	-3.0%	-0.7%	(230)
Global Ventures	5.0%	3.9%	110
BIG	1.0%	2.6%	(160)
Concentrate Sales	**-2.9%**	**-0.4%**	**(251)**
EMEA	-5.5%	-1.4%	(410)
Latin America	-5.0%	0.2%	(520)
North America	-2.5%	-1.8%	(70)
Asia-Pacific	-4.0%	-0.4%	(360)
Global Ventures	5.0%	3.2%	180
BIG	0.0%	2.0%	(200)
Price/Mix	**7.8%**	**6.9%**	**94**
EMEA	20.0%	14.3%	570
Latin America	12.0%	11.4%	60
North America	3.5%	4.2%	(70)
Asia-Pacific	4.0%	4.1%	(10)
Global Ventures	3.0%	3.0%	0
BIG	4.0%	4.1%	(10)
FX	**-4.1%**	**-4.6%**	**51**
M&A/Other	**-2.0%**	**-2.4%**	**45**

Source: Consensus Metrix and J.P. Morgan estimates.

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US Tracked Channel Trends ~+4% in 1Q24; Improved Sequentially YOY as Unit Decline Improved And Price/Mix Stable

Within the tracked channels during L13W 3/30/24, KO's overall dollar takeaway trends accelerated a bit sequentially driven primarily by an improvement in unit sales performance (declining less) while price/mix remained largely stable. Trends on a 2Y CAGR basis moderated a bit sequentially, but were in the high-end of +MSD% range. All-in, dollar sales growth of +3.8% L13W 3/30/24 compares to +3.1% L13W 12/30/23 (+70 bps acceleration) with unit sales decline improving to -1.3% L13W 3/30/24 from -2.1% L13W 12/30/23 while price/mix per unit grew +5.2% L13W 3/30/24 from +5.2% L13W 12/30/23. Promotional levels continue to tick higher YOY, although the pace of increase has been largely flat sequentially with % of sales on promotion 250 bps higher YOY in L13W 3/30/24 (vs. 380 bps higher YOY in L13W 12/30/23) and average promotional discount 20 bps higher YOY in L13W 3/20/24 (vs. flat YOY in L13W 20/30/23), leading to promotional intensity (breadth times depth) 43 bps higher YOY vs. 49 bps higher YOY in L13W 12/30/23.

2-Year CAGR Decelerated a Bit, 3- and 4-Year CAGRs Slowed Down Sequentially but Less Meaningful Now

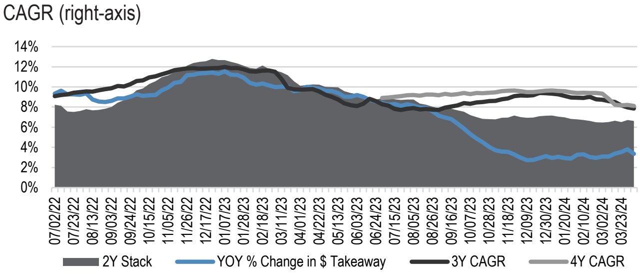
On a 2Y CAGR basis, KO's dollar takeaway L13W 3/30/24 decelerated slightly to +6.7% from +7.1% L13W 12/30/23 as unit sales CAGR of -3.0% L13W 3/30/24 was flat sequentially from L13W 12/20/23 while price/mix per unit CAGR of +9.6% L13W 3/30/24 moderated from +10.1% L13W 12/30/23. 3Y and 4Y CAGR trends are a bit less relevant now, in our view, but we note that on 3Y CAGR KO dollar sales of +8.0% L13W 3/30/24 decelerated -140 bps from +9.4% L13W 12/30/23 and on 4Y CAGR KO dollar sales +8.2% decelerated -140 bps from +9.6% L13W 12/30/23.

CSD Trends Largely Flat Sequentially at +4% As Pricing Moderates but Volumes Improve; KO Still Performing Better Than the Category

In CSDs, tracked channel trends for KO were largely flat sequentially in L13W 3/30/24 at +4.0% (vs. category ex-KO +3.2%) from +4.1% L13W 12/30/23 (vs. category ex-KO +3.3%). Within KO's +4.0% dollar sales growth L13W 3/30/24, volume sales improved to +1.6% from +0.1% L13W 12/30/23 while price/mix decelerated to +2.4% from +4.0% L13W 12/30/23. KO's outperformance vs. the category of roughly +90 bps L13W 3/30/24 was largely in-line with +80 bps in L13W 12/30/23 and the company's value share in CSDs in L13W 3/30/24 was up roughly +20 bps YOY vs. +19 bps YOY in L13W 12/30/23.

Figure 3: KO Trends +4% in 1Q, Improved Slightly Sequentially

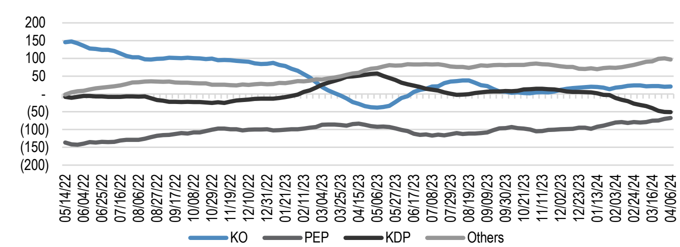
YOY % Change in $ Takeaway (13-Weeks) vs. 2-Year Stack (left-axis); 3Y & 4Y CAGR (right-axis)



Source: NielsenIQ.

Figure 4: KO CSD Market Share +20 Bps, Flat Sequentially

$ Market Share YOY (13-Weeks)



Source: NielsenIQ.

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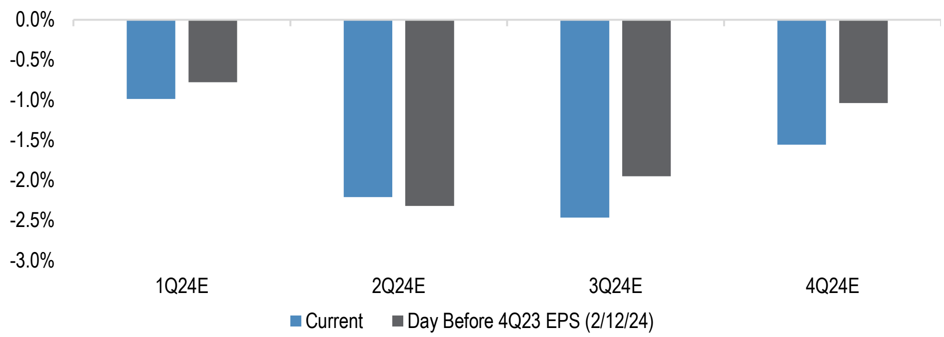
Updated FX Outlook

With the company's 4Q23 earnings results on February 13th, management refined its currency outlook for 2024 to a -2% to -3% headwind to the top-line (from -LSD% previously) and -4% to -5% to the bottom-line (from -MSD% previously). Additionally, for 1Q24 the company expected currency to be a -4% headwind to revenues and -8% headwind to EPS.

Since the company reported results on February 13, the USD has strengthened a bit with the DXY U.S. Dollar Index higher by about +2% since February 12 (trading day prior to earnings). **Our currency model suggests that FX has worsened by approximately -30 bps for 2024 relative to when KO reported results, although given KO's hedging the company may be covered for some the incremental headwind for this year. We left our 1Q24 estimated FX impact of -4.1% unchanged (vs. CM -4.6% - although median estimate is -4.1%), although we did build in a bit more headwind for 2024 and now model for a -2.3% headwind (vs. -2.0% before) relative to CM -2.9%.**

Figure 5: USD Has Strengthened Since KO's 4Q23; Likely Still Within -2% to -3% Range



Source: Bloomberg Finance L.P. and J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Coca-Cola *(Overweight; Price Target: $65.00)*

Investment Thesis

We have an Overweight rating on KO shares. We think Coca-Cola will benefit from economies reopening, and it is well positioned to reaccelerate organic growth toward the top end of its long-term 4-6% range. KO has undergone a deep positive transformation over the past few years by improving its sales portfolio, refranchising and consolidating bottling assets globally, setting up new systems and procurement in the US, shifting focus from volume to value growth, and transitioning senior management, all of which give us confidence in the underlying fundamentals of the business. While the multi-billion-dollar dispute with the IRS and FX are overhangs, we think these are already reflected in the share price.

Valuation

Our Dec 2024 price target is $65, based on 21.5x P/E (1-year average multiple) our 2025 estimates as top-line momentum, better ability to pass through cost inflation, and defensive nature in an uncertain macro backdrop are partially mitigated by the ongoing unfavorable FX outlook, GLP-1 concerns, potential tax liability, and rate environment. Our $65 price target implies ~11% upside in the next ~8 months plus a ~3% dividend yield. We think the aforementioned overhangs are contemplated in current valuation, creating favorable risk/reward.

Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include (1) negative resolution in the tax dispute with the IRS (not contemplated in our model); (2) the uncertainty around potential impact of GLP-1 drugs on demand longer-term; (3) further margin de-leverage because of inflationary headwinds and/or volume losses; and (4) increasingly unfavorable FX movements—all of which could drive further negative earnings revisions.

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Coca-Cola: Summary of Financials

Income Statement - Annual	FY22A	FY23A	FY24E	FY25E	FY26E
Revenue	**43,046**	**45,784**	**46,331**	**48,337**	**-**
COGS	(17,817)	(18,465)	(18,187)	(18,846)	-
Gross profit	**25,229**	**27,319**	**28,144**	**29,491**	**-**
SG&A	(12,884)	(13,983)	(14,169)	(14,693)	-
Adj. EBITDA	**13,605**	**14,464**	**15,107**	**16,075**	**-**
D&A	(1,260)	(1,128)	(1,132)	(1,278)	-
Adj. EBIT	**12,345**	**13,336**	**13,975**	**14,798**	**-**
Net Interest	(457)	(645)	(754)	(883)	-
Adj. PBT	**13,377**	**14,403**	**15,088**	**16,056**	**-**
Tax	(2,545)	(2,737)	(2,897)	(3,083)	-
Minority Interest	(29)	11	31	51	-
Adj. Net Income	**10,803**	**11,677**	**12,222**	**13,024**	**-**
Reported EPS	2.48	2.69	2.82	3.01	-
Adj. EPS	**2.48**	**2.69**	**2.82**	**3.01**	**-**
DPS	**1.75**	**1.83**	**1.90**	**2.01**	**-**
Payout ratio	70.5%	68.1%	67.2%	66.8%	-
Shares outstanding	4,351	4,339	4,330	4,330	-

Balance Sheet & Cash Flow Statement	FY22A	FY23A	FY24E	FY25E	FY26E
Cash and cash equivalents	9,519	9,366	8,156	6,534	-
Accounts receivable	3,487	3,410	3,750	4,065	-
Inventories	4,233	4,424	4,416	4,665	-
Other current assets	5,352	9,532	9,523	9,807	-
Current assets	**22,591**	**26,732**	**25,845**	**25,070**	**-**
PP&E	9,841	9,236	10,312	11,341	-
LT investments	501	118	118	118	-
Other non current assets	59,830	61,617	67,617	67,617	-
Total assets	**92,763**	**97,703**	**103,891**	**104,146**	**-**
Short term borrowings	2,373	4,557	4,557	4,557	-
Payables	15,749	15,485	15,457	16,142	-
Other short term liabilities	1,602	3,529	3,572	3,134	-
Current liabilities	**19,724**	**23,571**	**23,586**	**23,834**	**-**
Long-term debt	36,377	35,547	39,547	35,547	-
Other long term liabilities	10,836	11,105	11,105	11,105	-
Total liabilities	**66,937**	**70,223**	**74,238**	**70,486**	**-**
Shareholders' equity	24,105	25,941	28,114	32,121	-
Minority interests	1,721	1,539	1,539	1,539	-
Total liabilities & equity	**92,763**	**97,703**	**103,891**	**104,146**	**-**
BVPS	**5.54**	**5.98**	**6.49**	**7.42**	**-**
y/y Growth	*4.5%*	*7.9%*	*8.6%*	*14.3%*	-
Net debt/(cash)	28,587	29,701	34,911	32,533	-
Cash flow from operating activities	**11,018**	**11,599**	**11,526**	**13,702**	**-**
o/w Depreciation & amortization	1,260	1,128	1,132	1,278	-
o/w Changes in working capital	(605)	(846)	(351)	(162)	-
Cash flow from investing activities	**(763)**	**(3,349)**	**(2,207)**	**(2,307)**	**-**
o/w Capital expenditure	(1,484)	(1,852)	(2,207)	(2,307)	-
as % of sales	*3.4%*	*4.0%*	*4.8%*	*4.8%*	-
Cash flow from financing activities	**(10,250)**	**(8,310)**	**(10,529)**	**(13,017)**	**-**
o/w Dividends paid	(7,616)	(7,952)	(8,217)	(8,706)	-
o/w Net debt issued/(repaid)	(958)	1,857	4,000	(4,000)	-
Net change in cash	**(200)**	**(133)**	**(1,210)**	**(1,623)**	**-**
Adj. Free cash flow to firm	**9,534**	**9,747**	**9,319**	**11,395**	**-**
y/y Growth	*(15.3%)*	*2.2%*	*(4.4%)*	*22.3%*	-

Income Statement - Quarterly	1Q24E	2Q24E	3Q24E	4Q24E
Revenue	**10,971**	**12,061**	**12,051**	**11,248**
COGS	(4,232)	(4,741)	(4,606)	(4,609)
Gross profit	**6,739**	**7,320**	**7,445**	**6,640**
SG&A	(3,223)	(3,355)	(3,699)	(3,892)
Adj. EBITDA	**3,789**	**4,236**	**4,034**	**3,048**
D&A	(273)	(270)	(288)	(300)
Adj. EBIT	**3,516**	**3,965**	**3,746**	**2,747**
Net Interest	(153)	(149)	(230)	(222)
Adj. PBT	**3,729**	**4,387**	**4,092**	**2,879**
Tax	(716)	(842)	(786)	(553)
Minority Interest	(1)	31	9	(8)
Adj. Net Income	**3,012**	**3,576**	**3,316**	**2,318**
Reported EPS	0.70	0.83	0.77	0.54
Adj. EPS	**0.70**	**0.83**	**0.77**	**0.54**
DPS	**0.47**	**0.47**	**0.47**	**0.47**
Payout ratio	68.2%	57.4%	61.9%	88.6%
Shares outstanding	4,330	4,330	4,330	4,330

Ratio Analysis	FY22A	FY23A	FY24E	FY25E	FY26E
Gross margin	58.6%	59.7%	60.7%	61.0%	-
EBITDA margin	31.6%	31.6%	32.6%	33.3%	-
EBIT margin	28.7%	29.1%	30.2%	30.6%	-
Net profit margin	25.1%	25.5%	26.4%	26.9%	-
ROE	45.9%	46.7%	45.2%	43.2%	-
ROA	11.5%	12.3%	12.1%	12.5%	-
ROCE	15.7%	16.8%	16.3%	16.6%	-
SG&A/Sales	29.9%	30.5%	30.6%	30.4%	-
Net debt/equity	1.1	1.1	1.2	1.0	-
P/E (x)	23.7	21.9	20.9	19.6	-
P/BV (x)	10.6	9.9	9.1	7.9	-
EV/EBITDA (x)	19.5	18.3	17.8	16.6	-
Dividend Yield	3.0%	3.1%	3.2%	3.4%	-
Sales/Assets (x)	0.5	0.5	0.5	0.5	-
Interest cover (x)	29.8	22.4	20.0	18.2	-
Operating leverage	98.0%	126.2%	401.0%	135.9%	-
Revenue y/y Growth	11.4%	6.4%	1.2%	4.3%	-
EBITDA y/y Growth	8.3%	6.3%	4.4%	6.4%	-
Tax rate	19.0%	19.0%	19.2%	19.2%	-
Adj. Net Income y/y Growth	7.1%	8.1%	4.7%	6.6%	-
EPS y/y Growth	6.8%	8.4%	4.9%	6.6%	-
DPS y/y Growth	4.8%	4.7%	3.5%	5.9%	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Companies Discussed in This Report (all prices in this report as of market close on 18 April 2024, unless otherwise indicated)
PepsiCo(PEP/$172.27/N)

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Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
19-Apr-21	N	53.68	56
21-Jul-21	N	55.83	59
12-Oct-21	N	54.23	60
28-Oct-21	N	55.52	59
13-Dec-21	OW	56.28	63
04-Feb-22	OW	61.61	64
10-Feb-22	OW	61.04	65
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 25, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
01-Jul-21	OW	148.17	154
13-Jul-21	OW	149.51	171
04-Feb-22	OW	175.37	185
30-Mar-22	OW	168.19	180
22-Apr-22	OW	174.84	183
27-Apr-22	OW	173.30	186
06-Jul-22	OW	169.01	185
13-Jul-22	OW	169.50	188
30-Sep-22	OW	166.61	186
13-Oct-22	OW	169.39	188
17-Jan-23	OW	175.24	189
09-Feb-23	OW	171.16	190
17-Apr-23	OW	183.51	196
26-Apr-23	OW	189.71	201
13-Jul-23	OW	183.17	203
03-Oct-23	OW	169.17	188
10-Oct-23	OW	161.36	185
19-Dec-23	N	168.91	176
09-Feb-24	N	173.85	178

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IB clients**	49%	45%	35%
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Completed 18 Apr 2024 08:30 PM EDT Disseminated 19 Apr 2024 12:15 AM EDT